the technical expertness of operators is commensurate with the complexity of the mechanical equipment they handle (whether this involves skills in machine maintenance or in computer programming), will change conditions to make them correspond more closely to our original expectations, that is, will raise discretion and work satisfaction.

Questioning Some Prevailing Assumptions

Hierarchical Authority and Coordination. It is widely assumed that the hierarchy of authority is essential for coordination in complex organizations. Those who take this view recognize that hierarchical authority interferes with communications: specifically, that it often prevents accurate information from reaching higher executives to the detriment of effective management. But given the assumption that a hierarchy is a functional prerequisite for coordination in a formal organization, its dysfunctions are looked upon as an inevitable cost—a cost that may be reduced but cannot be eliminated. Moreover, given this assumption, some questions are never raised—questions such as how much and what kinds of coordination are actually required by various types of organizations.

To answer these questions it is necessary to distinguish between two forms of departmental specialization, which may be called "parallel" and "interdependent." Even if various departments have different responsibilities, they are not necessarily interdependent. A department store exemplifies such parallel specialization, where the work at the perfume counter is different from but not dependent on that in the shoe department. In contrast, the operations of a sales department and those of the corresponding group of buyers in the department store are interdependent, and so are the operations in various divisions of an automobile factory. It is only such interdependent specialization that makes coordination a fundamental managerial problem. In many organizations, therefore, problems of coordination are of minor significance. (And let us note also that quite large organizations are sometimes hardly specialized at all. The operations of different departments often are essentially alike, as is illustrated by the responsibilities of the various district offices of the Bureau of Internal Revenue. There is no interdependence between the work of these offices, and hence no problem of coordination. Instead, the crucial problem is that of uniform administration of tax legislation. The enforcement of strict conformity to legal standards throughout the entire organization is clearly a managerial problem, but it is not a problem of coordination.)

Another question seldom asked is how much coordination, when

it is essential, is actually accomplished by means of hierarchical communication, that is, through managerial directives transmitted down the hierarchy to operating levels. Note that this model of hierarchical coordination implies that the solution of every new problem that arises between departments is delayed until relevant information has been passed up the hierarchy and a decision has been made and sent down again. (This procedure corresponds to the stereotype of the buck-passing bureaucracy encumbered in red-tape.) We want to suggest that in the very organizations where interdependent specialization is most pronounced, and where, consequently, the problems of coordination are most acute, coordination is typically not achieved by this method, undoubtedly in large part because it is so inefficient. In the assembly-line plant, not hierarchical communication but the a priori design of the production process, as manifested in the arrangement of work stations on the conveyors, is the primary mechanism of coordination; and the same is the case in the automated factory. But even where mechanization is less advanced and does not furnish the instrument with which management attains coordination, the coordination is often achieved by more direct methods than hierarchical communication.

The classical model of hierarchical coordination implies that supervisors discharge their duties by serving as vertical channels of communication. This function, however, is not what Simpson found in the spinning department he studied.[53] Communication there was predominantly horizontal rather than vertical. As we have mentioned, most work-related contacts of first-line foremen were not with superiors or subordinates but with other foremen on their own level, and the purpose of many of these contacts among foremen was to coordinate the operations of their interdependent specialized sections. This method of coordination through direct contact between employees on the same level was also observed in the welfare agencies. When the work of two departments required some coordination, the supervisors or even the caseworkers involved would establish direct contact and would jointly solve the problem or develop a common plan of action. Thus, a public-assistance caseworker might consult directly with a medical social worker, or a field supervisor with a supervisor from the auditing department. These consultations were not merely an informal practice but part of the formally established procedure. Why, given these considerations, did we find that the supervisors in the two agencies had relatively few contacts with one another?[54] The reason probably is that all the supervisors interviewed in City Agency and most of those in County Agency (within each division) were in charge

[53] Simpson, *loc. cit.*
[54] See above, pp. 159–161.

of units engaged in the same operations in different parts of the community. Since the responsibilities of these units were not interdependent, there were relatively few problems of joint concern to any two of them. Problems of coordination occur primarily between specialized sections whose operations are interdependent, and they are often solved not by communicating information up the hierarchy to a common superior and waiting for his decision to be transmitted downward, but through direct contacts between the members of the sections affected.

Finally, an implicit assumption of bureaucratic theory which we have had repeated occasion to question is that hierarchical authority and discipline are compatible with decisions based on expert judgments made in accordance with professional standards. It seems, on the contrary, that there is a conflict between these two conditions. Rigid discipline stifles professional judgments. Conversely, hierarchical authority is weakened by increasing technological complexity in an organization with its resulting emphasis on technical expertness for all personnel, including those on the lowest operating levels. Janowitz reports that even in the army—the prototype hierarchical structure—the requirements of modern warfare and its complex technology have brought about a reduction in hierarchical domination of lower levels and an increase in delegation of responsibility to them.[55]

These observations are not to be taken as indicating that management is becoming obsolete, only that its form and functions are changing. It appears that management's primary significance is no longer as the apex of the authority pyramid; rather its central function is to design, in collaboration with a staff of experts, appropriate impersonal mechanisms of control. These mechanisms centralize control in the hands of management and become functional substitutes for directives from supervisors, since they directly influence performance and effect the necessary coordination of specialized activities. Impersonal mechanisms take many forms. They include the old-fashioned rules and regulations in administrative organizations as well as the more recent technological control of the labor force through advance planning and mechanization of the work process. Another form of impersonal control is the use of performance records which serve as the basis for an objective evaluation of the results accomplished by employees and at the same time exert direct pressure on them to improve their performance. Recruitment and training procedures which assure that personnel will be qualified to make expert judgments are still other mechanisms of control available to management, and so

55 Morris Janowitz, "Changing Patterns of Organizational Authority," *Administrative Science Quarterly*, 3 (1959), pp. 473–493. See also Janowitz, *The Professional Soldier, op. cit.*, pp. 8–9, 38–42.

are promotion policies established to furnish inducements for exercising initiative, responsibility, and effort. These and other techniques allow management to control operations without relying primarily on communicating directives through the hierarchy to operating levels.

Impersonal mechanisms of control, therefore, lessen the need for close supervision, but whether this lessening leads to more responsibility and discretion for employees depends on the nature of the control they exert. Important as problems of coordination are, they are not the only ones that require limiting the discretion available to members of an organization. If employees lack the skills to assume responsibilities, or if they receive no incentive to exercise their skills in the pursuit of organizational objectives, management will also find it necessary to restrict the scope of their discretion. Mechanization of the work process, as illustrated by the assembly line or automation, solves the problem of coordination but does not solve these other problems and, consequently, is not associated with greater discretion for workers. On the other hand, discretion, and therefore work satisfaction, can be increased by personnel policies and reward systems that increase the skill of employees and motivate them to exercise these skills in the pursuit of organizational objectives. In such a situation, management, relieved of much routine supervision, would be free to concentrate its efforts on improving the organization and, specifically, the impersonal mechanisms of control.[56]

Pseudo Democracy. Democracy implies that a group of people rule themselves, either directly or through elected representatives. We have just contrasted management through planning the conditions in the organization that in turn influence the activities of its members with management through transmitting directives down a hierarchy of authority. We have suggested that the former has several advantages over the latter, including a lesser emphasis on hierarchical authority relations. However, neither of these two approaches to management can be considered democratic. Indeed, the loose talk about internal democracy in private firms, government agencies, and similar organizations is simply misleading, since management in these types of organizations is not and cannot be governed by the principle of following the will of the majority of its members but must be guided by the principle of maximizing the effective accomplishment of given objectives. Only the type of organization we have called "mutual-benefit association" is expected to adhere to democratic principles of organization.

It is often assumed that permitting workers in a factory or business

[56] This is also the conclusion of Ackoff's attempt to forecast the implications of automation for management. See Russell L. Ackoff, "Automatic Management," *Management Science,* 2 (1955), pp. 55–60.

concern to discuss some problem that has implications for their work situation involves democratic management. But this practice would constitute democracy only if the workers had the right to make the most basic decisions about operations, not if they merely were permitted to decide how to implement decisions previously made by management. For example, if management should decide to install new machines in a department but allow the workers to discuss the problems involved in adapting to them and even to suggest ways by which the period of adaptation can be eased, this practice does not entail, in any meaningful sense, a democratic decision process. Research shows that workers who were given such opportunities for discussion accepted innovations in work procedures much more readily than did workers in situations where no discussion was allowed.[57] These findings indicate that such discussions are an effective managerial technique, but they do not involve, as is sometimes implied, democratic decision-making by the workers.[58] For the latter would require that the workers have the power to reverse management and decide not to make the suggested change.

In general, it appears that the hierarchical structure of an organization tends to defeat attempts at democratization. This effect is illustrated by some occurrences in a federal law-enforcement agency studied by one of the authors. The bureau chief in Washington decided that changes needed to be made in the evaluation procedure and that they should be democratically arrived at by a committee representing the employees. He therefore instructed each of the nine regional directors to send a nonsupervisory employee to represent his region to a conference; three of the regions were also to send a supervisory representative. This committee of twelve discussed problems of evaluation and democratically decided on a new evaluation procedure by a majority vote. Officials from the national headquarters participated only in an advisory capacity in the conference. But, appearances to the contrary, the hierarchical authority structure contravened the purpose of the bureau chief to make the decisions in a democratic manner. For the regional directors, wishing to make a good impression on the national officers, wanted the "right" person to represent them at the meeting. Only one of the nine directors permitted the employee organization to select their own representative. The rest appointed the representative themselves and tried to appoint an outstanding agent. Hence, workers most critical of the present evaluation system were not represented, and

[57] Lester Coch and John R. P. French, Jr., "Overcoming Resistance to Change," *Human Relations,* 1 (1948), pp. 512–532.

[58] Coch and French make no claim that their experiment involved democratic decision-making, only "participation in planning the change"; but their results are sometimes interpreted in this misleading fashion.

most agents felt that the committee did not represent them. Further, selection was biased in favor of the higher positions. Several of the agent-representatives were ex-supervisors, and two of the three supervisors attending the conference were not first-level supervisors but held higher positions. It appears that attempts to develop democratic decision-making machinery in formal organizations with hierarchical structures are almost sure to be frustrated by built-in conflicts of interest between management and operating officials, which make representatives selected by workers unsatisfactory to management, and vice versa. The widespread acceptance of the values of democracy, however, constrains officials to attempt to utilize democratic forms in the management of their organizations. Unfortunately, the forms alone are insufficient, and the result is often a kind of pseudo democracy which easily degenerates into a device for the manipulation of employees.

In certain types of service organizations, such as casework agencies and mental hospitals, pseudo democracy often takes the form of a therapy-oriented or psychiatric approach to supervision. In this approach the subordinate is not blamed for imperfections in his performance or for failing to conform to directives; instead, his behavior is analyzed to detect what unconscious forces have led to his resistance.[59] This practice was observed to occur frequently in the weekly supervisor-worker conferences in the welfare agencies, where the worker would bring his difficult cases for discussion. The supervisor would aid him in solving the technical questions involved in determining client eligibility, would help him to understand the behavior of his client, and sometimes would indicate to the worker how his own feelings and needs were influencing his relation with the client. Accordingly, the workers often found themselves rather than the clients to be the subjects of these discussions—so much so that there were many references among workers to the supervisory practice of "caseworking the worker." There were, of course, sometimes legitimate grounds for subjecting the worker's feelings and behavior to critical analysis—to help him refrain from projecting his own needs and interests into his casework relations, to encourage a more professional and detached orientation to clients, and to protect the welfare of the clients.

However, the psychiatric approach to supervision in social work is subject to abuse. What is conceived to be a very democratic method

[59] Gouldner refers to a "utilitarian" view of deviance when nonconforming acts are assumed to result from carelessness or ignorance. Our concept is broader and includes, particularly, acts that are assumed to result from internal forces over which the individual has no control. Gouldner contrasts the utilitarian with the "voluntaristic" view of deviance, according to which the offending individual has deliberately disobeyed and hence is subject to punishment. See Alvin W. Gouldner, *Patterns of Industrial Bureaucracy,* Glencoe, Ill.: Free Press, 1954, pp. 232–233.

of supervision—not blaming subordinates but helping them understand their problems—turns easily into a manipulative controlling device. When there were differences of opinion between the supervisor and the caseworker on how to deal with certain problems of a client, the supervisor was tempted to analyze the worker's motives for disagreeing rather than to demonstrate why his judgment was better in terms of professional or other objective standards. Workers whose judgment frequently differed from that of their supervisor might be accused of being "unable to accept supervision." The practice of questioning the worker's unconscious motives tended to elevate the superordinate into an omniscient power. Workers found that they could not be right in any disagreement since their arguments were not accepted at face value but dismissed as being rationalizations to mask unconscious resistance.[60] Subordinates are defenseless against this criticism because the very act of questioning it "proves it right."

Psychiatric terminology was also utilized to hide the exercise of power over clients. Such generalized phrases as "working through problems," "cooperating with the agency," and "accepting reality factors" could disguise from the supervisor, the client, and sometimes from the worker himself actions involving coercion or manipulation of the client. And here again objections and protests of clients could be interpreted as "resistance," which served to devaluate their remarks and to depersonalize the hostility they expressed,[61] as the following incident in a worker-supervisor conference at County Agency illustrates. The worker had just returned from a field visit to tell a client that inasmuch as she had been neglecting her child the agency would institute wardship proceedings. The worker reported to the supervisor that the client had become quite abusive and had threatened to take the child and move to another city outside the county; the client further insisted that she had been willing to give up the child a year ago but that the agency had moved too slowly. The supervisor rejected the client's protests as reported by the worker in the following terms: "We know what this is, don't we? She is projecting blame onto others. We recognize this for what it is—a big defense. We anticipated some kind of reaction, didn't we? This is what to us? A threat! Is this going to take us off our course?"[62]

[60] On similar tendencies to disregard the content of communications in a private mental hospital, see Alfred H. Stanton and Morris S. Schwartz, *The Mental Hospital,* New York: Basic Books, 1954, pp. 146–150, 200–206.

[61] The interpretation of client hostility in nonpersonal terms is important for the worker as a means of protecting his own ego. It is also important for the organization, because it helps workers to enforce official policy even in the face of client hostility.

[62] See W. Richard Scott, "A Case Study of Professionals in a Bureaucratic Setting," unpublished Ph.D. dissertation, Department of Sociology, University of Chicago, 1961, p. 199.

Since such psychiatric interpretations, often in terms of unconscious motives, leave the subject defenseless by devaluating the substantive content of his arguments, their legitimate use as a diagnostic or therapeutic tool requires a relationship in which the defenseless clients are protected—one where the decisions of the professional are exclusively oriented to serving the interests of the clients.[63] Such an orientation to clients prevails in social work as well as in other professional services, but other factors intrude in the operations of welfare agencies. For the responsibilities of these agencies include not only providing casework service but also some duties that involve a conflict of interests, such as determining eligibility for assistance, or deciding whether a mother's conduct justifies taking her child away from her against her will (an action that presumably serves the interests of the child but involves a conflict of interests with the mother). Psychiatric interpretations are a legitimate professional technique in the context of casework, but in a context where conflicts of interests occur they are simply manipulative devices to facilitate and conceal the exercise of power. They are particularly so in the supervisor-subordinate relationship, which is not a professional-client relationship, since conflicts of interest exist between the representative of managerial policies and the worker, and since conflicts of professional judgment are legitimate and are expected to be clarified rather than ignored by attributing the opinion of the subordinate to unconscious resistance.

A study by Lefton and his colleagues suggests that the pseudo democracy implicit in a psychotherapeutic approach to supervision may have boomerang effects.[64] Observation of staff conferences in a mental hospital revealed that nearly all decisions were made by the psychiatrists, the senior staff members, notwithstanding the conception of a "therapeutic community" where all members of the clinical team participate in decision-making. Interview responses also indicated the predominant influence position of psychiatrists. There were, however, interesting differences between wards in the staff reaction to this situation. In wards oriented toward organic treatment, the staff on lower levels did not expect or particularly want to participate in decision-making, but in wards with a strong psychotherapeutic orientation lower staff members did expect and want to exercise considerable influence on decisions. As a result, staff members in lower positions in the psychotherapeutically oriented wards found themselves frustrated and were less satisfied with the amount of influence they could exert than those in organically oriented wards, although the latter had no

[63] See Talcott Parsons, *The Social System,* Glencoe, Ill.: Free Press, 1951, pp. 463–465.

[64] Mark Lefton *et al.,* "Decision-Making in a Mental Hospital," *American Sociological Review,* 24 (1959), pp. 822–829.

more influence than the former. It appears, then, that the expectations engendered by a democratic ideology make low-influence positions unsatisfactory—more unsatisfactory than they are in the absence of a pseudo-democratic climate.

The managerial planning of impersonal mechanisms of control does not involve such pseudo-democratic promises or assumptions. Nevertheless, such mechanisms, particularly the evaluation of performance by results achieved, give the lower levels more responsibility and tend to identify their interests with the objectives of the organization. Consequently, the informal expectations and social pressures in work groups frequently further the interests of the organization rather than oppose them. For example, in the automatic steel mill studied by Walker, the introduction of a group incentive-pay plan had the result that workers put pressure on one another to maintain a high level of productivity.[65] They also demanded wider coverage of the incentive plan to include the maintenance workers, partly so that this group could participate in the higher earnings, but largely because they wanted the maintenance crews to have an incentive to make repairs quickly lest the production teams' earnings suffer from the more leisurely pace of the maintenance crews. Thus, in at least some respects, workers took over functions formerly exercised by management. The fact that work groups themselves exercise much controlling power in the interest of operating efficiency, however, is not an unmixed blessing for their individual members. The checks and balances resulting from some conflict of interest between informal work group, union, and management may give the individual a degree of freedom that he loses when a coalition develops between these three powers over him.

In the situation studied by Walker a group incentive plan led to increased output and mobilized the informal forces of the work group in the pursuit of objectives set by management. This result was precisely what the management in the Hawthorne plant studied by Roethlisberger and Dickson hoped for in their use of a group incentive system; however, as we have seen, the informal pressures of the workers in the Bank Wiring Observation Room did not increase production but limited it. What accounts for these different effects of similar incentive plans? We can, of course, only speculate, but the following differences may be in part responsible. First, the workers studied by Walker had no fear of immediate layoff since the country was not in the throes of a major depression when this study was conducted as it

65 Walker, *op. cit.*, pp. 80–83, 169. See also Seymour Melman, *Decision Making and Productivity,* Oxford, England: Basil Blackwell, 1958, pp. 133–134; Melman concludes that the introduction of a gang system and group wage incentives into a British automobile-manufacturing firm reduced the need for supervision because work-group pressures assured a high level of productivity.

was at the time of the Hawthorne study. Second, group cohesion in the automated factory appears to have been weaker than in traditional work groups. Workers were scattered and communication between them was reduced. In such situations management and its reward system may be able to exert more influence on worker attitudes than is possible when workers are members of tightly knit groups. Third, and perhaps most important, the operations of workers in the automated plant were interdependent. Hence, there was no danger that they would compete with one another, and all had to attain high output together or none could. The men in the Bank Wiring Room, in contrast, were engaged in similar but not interdependent tasks. Competition for high productivity could have torn the group apart had not informal control measures to discourage it been instituted.

Finally, let us briefly examine another implication of pay-incentive systems. Piece-rate incentives are usually based on measuring working time and not idle time; however, if the task involves primarily mental and not physical labor, this distinction breaks down.[66] Unlike other workers, those employed in the automatic steel mill did not complain about the rates themselves, but they did complain about not getting paid for ideas they had and for judgments they made when they were apparently idle. A dysfunction of the pay incentives was that they tended to focus the worker's attention on his narrow task—to reward him for restricting his interest. But the interdependence of the work in the automated department made it important for the worker to scan the work of others and coordinate his task with theirs. Hence, the pay incentives discouraged the scope of attention most beneficial for automated production. This conflict suggests that the more professionalized tasks become—that is, the more they require expert judgment and breadth of perception—the less adequate will piece rates be as an incentive system. The evaluation of results of tasks that involve expertness requires more than measuring output rates, and the reward system appropriate for such tasks is one that does not focus on immediate earnings but on the employee's long-run career. This more complex reward structure would gear the evaluation system to a promotion system that provides opportunities for advancement to higher positions and thus assure that the worker's record of accomplishment would influence his chances for advancement.

Concluding Remarks

We discussed in this chapter some informal patterns that characterize the relations between managers, such as conflicts between staff

[66] See Walker, *op. cit.*, pp. 169–174.

and line, and power struggles that occur among managers and apparently serve important functions for organizational change. Our primary focus, however, was on organizational constraints. After examining the significance of the shape of the pyramid and of the structuring of time on different organizational levels, we contrasted impersonal mechanisms of control, such as mechanization and statistical records of performance, with management through hierarchical directives.

In the last part we questioned some prevailing assumptions in the field of formal organization. We asked whether the hierarchy of authority, as distinguished from managerial planning, is the most effective mechanism for coordinating the operations of specialized, interdependent segments of an organization or, for that matter, whether it actually is the method of coordination typically used. We questioned the assumption that the participation of workers in discussions of organizational problems involves democratic decision-making, and we critically examined other pseudo-democratic procedures in hierarchical organizations. We also raised the question of whether informal control of production through peer-group pressure, democratic as it appears, may not restrict individual freedom even more severely than do formal mechanisms of control. Finally, we queried whether the traditional pay-incentive systems are adequate to motivate and control workers in the increasingly complex and professionalized jobs of modern industry.

CHAPTER EIGHT

The Social Context of Organizational Life

Organizations have their roots in larger social systems. In this chapter we shall examine formal organizations in relation to their social environment. This environment is complex, and while we cannot hope to deal with it in all its complexity, we can indicate a few of its components. In Chapter III, we analyzed one dimension of an organization's environment, namely, the publics associated with it—the public-in-contact, the public served, and the public-at-large. Now we are concerned with other dimensions of the social environment, such as the culture and the structure of the community in which an organization is located. One particularly interesting aspect of an organization's environment is other organizations, and the study of this aspect leads to a consideration of the web of interrelations between organizations.

The boundary between an organization and its social context is never entirely clear. Goffman has commented that organizations are surrounded by a "semi-permeable membrane," the degree of permeability varying with the type of organization.[1] The place of technology illustrates the ambiguity of this boundary. On the one hand, the stage of technological advancement in a society is part of the environment of organizations. On the other hand, however, it is a characteristic of the organizations themselves, because they are the bearers of the technology and also because organizations differ in technological complexity. Of course, this distinction does not refer to two different technologies but merely to two perspectives for looking at the same phenomenon. Since environmental conditions and organizational characteristics are so closely connected, the comparative study of organizations in different environments also provides an opportunity for analyzing the association between various organizational characteristics. For example, the study of organizations in different societies or cultures is most likely to reveal pronounced differences in technology and thus furnish the data most suitable for the investigation of the associa-

[1] Erving Goffman, "Characteristics of Total Institutions," Walter Reed Army Institute of Research, *Symposium on Preventive and Social Psychiatry,* Washington, D.C.: U.S. Government Printing Office, 1957, pp. 82–83.

tion between technological complexity and bureaucratic hierarchy in organizations.

The social environment influences organizations—their internal structure and their relations with one another—but there are also feedback processes through which organizations influence their environment. The social processes that characterize the relations between organizations, and that are affected by their internal structure, help shape the larger social system in which the organizations exist. We shall seek to analyze some of these dynamic processes.

The Social Environment of Organizations

The Web of Organizations. Merton has noted that any single status involves the individual in not one but a whole set of role relations and expectations.[2] Inherent in such a "role-set" is the possibility of conflicting expectations. For example, physicians in a hospital may expect the hospital administrator to purchase the latest diagnostic and therapeutic equipment whereas the hospital board expects him to hold down the cost of medical facilities. There are several mechanisms that help to articulate such conflicting demands: (1) differences in the importance and power of the various members of an individual's role-set help to determine whose expectations will govern his actions; (2) the fact that a person usually does not have contacts with all members of his role-set at once enables him to live up to the expectations of some at one time and to the conflicting expectations of others at a different time; (3) when the others realize that they are making conflicting demands on a person, they will themselves often attempt to resolve their differences; and (4) several individuals occupying the same social status can combine for mutual support, forming associations and developing codes to mitigate the conflicting expectations.

By extension, one can speak of organization-sets or webs of organizations, thus referring to the various other organizations to which any one organization is related. Like the persons who form an individual's role-set, these organizations often make conflicting demands on a particular organization. For example, a business concern may find that it is linked with a large number of organizations and groups—competing firms, suppliers, customers, the board of directors representing the stockholders, government agencies, unions, professional associations, and possibly consumer organizations. Each of these will have expectations of the firm's activities, some of which will not be compatible. The mechanisms that, according to Merton, provide a means of articulat-

2 Robert K. Merton, "The Role-Set," *British Journal of Sociology*, 8 (1957), pp. 106–120.

ing the demands of an individual's role-set also appear to operate in the organizational sphere. First, power is certainly important in determining to whose demands the organization will yield. A union must have strength if management is to comply with its demands notwithstanding the contrary pressures of stockholders; and the public must become effectively organized to exert influence on a firm, in the manner, for example, of the recent sit-in demonstrations by Negroes in the South. Second, mechanisms that insulate organizations from observation offer some protection against conflicting demands. Thus, customers ordinarily are not informed about the contracts a firm has with its suppliers; meetings of the board are not open to the public; and the board has no knowledge of the informal compromises that have been reached between management and the unions. Third, business firms often go to great lengths to inform some segment of their set about the pressures and demands made by other segments. For instance, a concern will spend many thousands of dollars to inform the public through advertising that it cannot reduce or must raise prices because of union demands for higher wages or because of the high taxes imposed by the government.[3] Finally, organizations, like individuals, combine together in mutual-benefit associations for the protection of their common interests. For example, industrial concerns have joined forces in the National Association of Manufacturers to fight the demands of other organizations, hospitals have united in the American Hospital Association, and unions have gained strength from the A.F.L.-C.I.O.

What are some of the processes that govern relations among organizations? Thompson and McEwen have distinguished four types—competition between organizations for the output of third parties and three kinds of cooperation.[4] Cooperative relations involve one of the following processes: (1) bargaining, in which agreements are negotiated between two or more organizations for the exchange of goods and services; (2) cooptation, in which new elements are absorbed into the leadership of an organization as a means of averting outside threats;

[3] In this connection, it is interesting to speculate what will be the long-range consequences of sociological studies of the forces that impinge on formal organizations. As these studies are expanded in scope, and to the extent to which their results become widely disseminated, organizations may gain increased insight into the types of pressures operating on them and on the organizations with which they deal, and they may adjust their policies accordingly. We agree with Gouldner that not enough attention has been devoted to studying the consequences of applied social science. See Alvin W. Gouldner, "Organizational Analysis," Robert K. Merton *et al.* (eds.), *Sociology Today*, New York: Basic Books, 1959, pp. 407–408.

[4] James D. Thompson and William J. McEwen, "Organization Goals and Environment," *American Sociological Review*, 23 (1958), pp. 23–31.

and (3) coalition formation, in which organizations become formally committed to joint decisions. An organization's goals are defined and redefined in these relations with other organizations. Each of the above strategies is intended to obtain support from some other organization, but in each case support must be paid for in surrendered sovereignty. Competition among organizations entails the least reduction in the autonomy of the organizations involved, bargaining permits organizations to maintain more independence than does cooptation, and coalitions require the greatest reduction in autonomy.

Competition between firms does not involve direct interaction. As Simmel states: "Here the struggle consists only in the fact that each competitor by himself aims at the goal, without using his strength on the adversary."[5] But the other social processes that occur between organizations do entail some contact, the actual interaction between organizations being carried out by designated members as their representatives. Goldner has called attention to the importance of certain "boundary roles," which are often utilized by one organization to carry on interaction with others, and which serve the function of maintaining the boundary of the parent organization against pressures exerted on it by other organizations.[6] He examines the labor-relations representatives of a firm as an example of persons having such a boundary role. These men were hired as staff experts in order to deal with the union. However, as a result of their role activities, they soon were seen by line management as representing the union viewpoint. The unions also regarded them with suspicion and thus they became marginal men, working for the firm and with the union but not accepted by either. But Goldner reports that their marginal position was an asset to the labor-relations men in performing their duties. Strangely enough, a certain amount of marginality appears to be functional for discharging the responsibilities of boundary roles. This becomes apparent if we consider the kinds of strategies required for an organization to enter into or to alter relations with other organizations.

To establish a new or different relationship, one party must make overtures to another, but doing so is risky since the rejection of the overture may well harm the first party's interest. Thompson and McEwen suggest that these principles hold for relations between organizations as well as individuals, and they use the case of a boss with amor-

5 Georg Simmel, *Conflict,* Kurt H. Wolff (trans.), Glencoe, Ill.: Free Press, 1955, p. 58.

6 Fred H. Goldner, "Organizations and Their Environment: Roles at their Boundary," paper read at the meetings of the American Sociological Association, New York, 1960. The concept of "boundary role" was first suggested in Talcott Parsons and Robert F. Bales, *Family, Socialization and Interaction Process,* Glencoe, Ill.: Free Press, 1955, p. 13.

ous designs on his secretary to illustrate the strategy required in such a situation.[7] To have his advances rejected would be at best embarrassing for the boss and might be disastrous for his career. But he can avoid this risk by making his initial overtures ambiguous and waiting until these elicit signs from the secretary that his advances are not unwelcome before he makes his intentions explicit. Similarly, a firm known to have unsuccessfully sought a merger with another firm may suffer a loss of credit as its solvency becomes suspect. To prevent such damaging repercussions, a firm can send out "feelers" that are sufficiently ambiguous to provide an "out" if the overture is rejected and yet explicit enough to elicit expressions of interest and tenative commitments from others, and it can wait for some reaction before making its own position clear. This strategy is most readily employed in behalf of organizations by persons occupying boundary roles. Thus, the marginality of the labor-relations representative, known to be more sympathetic to the union than other executives, allows him to carry "trial balloons" concerning management's intentions to the union to elicit the reactions of union leaders without firmly committing management, since the latter can easily claim that the labor-relations man's own views have led him to misrepresent its official position. A similar function appears to be performed by those individuals whom Dalton calls "two-way funnels."[8] These are persons known to gossip, to whom various parties deliberately leak pseudo secrets for the purpose of having them spread around. Depending on the reaction that follows, the originating party can then deny the "rumor," since the source is known to be unreliable, or it can make a firm commitment.

Organizations are not only related but actually interpenetrate one another through overlapping memberships. Union members, for example, are necessarily also members of an employing organization and may, besides, belong to other associations. Another illustration of interpenetration is found in the report of the National Resources Committee that in 1935, 225 of the 250 boards of the largest nonfinancial and financial corporations in this country had one or more directors in common with at least one other corporation board on the list.[9]

A study by Coleman indicates that the density of organizations in a community and the extent of participation in them has paradoxical implications for community conflict.[10] On the one hand, pervasive membership in organizations draws more people into the conflict and

[7] Thompson and McEwen, *op. cit.*, pp. 29–30.

[8] Melville Dalton, *Men Who Manage,* New York: Wiley, 1959, pp. 232–235.

[9] National Resources Committee, *The Structure of the American Economy,* Washington, D.C.: United States Government Printing Office, 1939, pp. 153–170.

[10] James S. Coleman, *Community Conflict,* Glencoe, Ill.: Free Press, 1957, pp. 21–23.

thus increases its scope. On the other hand, organization membership tends to increase identification with the community and to keep controversies between factions within bounds by reducing the tendency that they will degenerate into "a fight to the finish." If there are many organizations and associations in a community and participation in them is high, it follows that a good proportion of the population belongs to several organizations. Such interlocking organizational memberships have the result that in case of controversy some individuals will belong to organizations that pull them in opposite directions. For example, their union may take one position, but most members of their church, another. The cross pressures introduced by many linkages of this type mitigate the intensity of community conflict in several ways. People who are under cross pressure from associates with divergent opinions tend to lose interest in the controversy and assume less firm and partisan positions, as studies of voting have shown.[11] Besides, their boundary role makes these persons continual arbitrators, who justify the position of either side to its opponents, and who can serve to bring about compromise. Finally, the role conflict experienced by these people under cross pressure dissipates, as it were, part of the conflict between factions, and so does the conflict that occurs within organizations. In the absence of overlapping memberships, on the other hand, conflicts tend to split a community into two hostile camps with little communication between them.

Influences of the Community. The relations between communities and their component organizations have long been a central concern of human ecologists and rural and urban sociologists. A recent survey of this literature by Form and Miller indicates that economic organizations exert a major influence on community structure, affecting such diverse aspects as the location of the community, its size and growth pattern, the functions it performs for the larger society, its occupational composition, its total land-use pattern, its power and class structure, and its general character (physical appearance and "goodness" as measured by Thorndike's index).[12]

Influence also flows in the opposite direction. The community's location affects which industries are established and which ones thrive, and the community's size influences the type and the degree of specialization of the firms located there.[13] In addition, community norms are often the basis on which management hires and promotes employees,

11 See, for example, Bernard Berelson *et al.*, *Voting,* Chicago: University of Chicago Press, 1954, pp. 97–99, 127–132.

12 William H. Form and Delbert C. Miller, *Industry, Labor, and Community,* New York: Harper, 1960, pp. 20–54. See also E. L. Thorndike, *Your City,* New York: Harcourt, Brace, 1939.

13 See Otis Dudley Duncan *et al.*, *Metropolis and Region,* Baltimore: John Hopkins Press, 1960, pp. 23–81.

as illustrated by the treatment of racial and ethnic groups in organizations[14] and, specifically, by differences in personnel practices in the South and the North, even when branches of the same firm are compared. Another example of community influence is provided by a study comparing the performance of social workers of a state welfare department in offices of varying sizes.[15] It was found that workers in small offices were more likely to have a service orientation and to perform better as caseworkers than those in large offices. However, further analysis indicated that the crucial factor was probably not size of office but size of community. The small offices were all located in small communities, where workers were more likely than those in anonymous cities to be concerned with the welfare of their clients, who were not complete strangers but neighbors; their greater interest in helping clients improved casework service.

A study by Kerr and Siegel suggests a relation between community structure and strike propensity among industrial workers.[16] Propensity to strike was measured by man-days lost due to strikes and lockouts, comparable data being available on about 15 industries in eleven different countries. The highest propensity to strike in most countries was in the mining, maritime, and longshore industries; the lowest, in agriculture, trade, and the railroad industry. The explanatory hypothesis offered for the strike patterns discovered is that men whose work isolates them from the regular social life of the rest of the community tend to form an isolated mass with strong union solidarity, whereas workers who are integrated into the larger community do not. Workers in the isolated mass were also more likely to be active participants in their unions, and factionalism was high in their unions. Other studies on union participation and solidarity tend to confirm this conclusion. As was noted in Chapter II, increased social contact on and off the job and high homogeneity among workers have been found to promote participation in the union by Sayles and Strauss, Lipset and his colleagues, and others.[17] And a study by Dean indicates an association between the extent of off-job contacts with fellow workers and attendance at union meetings.[18] Research also supports Kerr and Siegel's suggestion that social and physical isolation from other occupations strength-

[14] See, for instance, Orvis Collins, "Ethnic Behavior in Industry," *American Journal of Sociology,* 51 (1946), pp. 293–298.

[15] Edwin J. Thomas, "Role Conceptions and Organizational Size," *American Sociological Review,* 24 (1959), pp. 30–37.

[16] Clark Kerr and Abraham Siegel, "The Interindustry Propensity to Strike—An International Comparison," Arthur Kornhauser *et al.* (eds.), *Industrial Conflict,* New York: McGraw-Hill, 1954, pp. 189–212.

[17] Leonard R. Sayles and George Strauss, *The Local Union,* New York: Harper, 1953, pp. 148–149, 197–202; and Seymour M. Lipset *et al., Union Democracy,* Glencoe, Ill.: Free Press, 1956, pp. 106–140.

[18] Lois R. Dean, "Social Integration, Attitudes, and Union Activity," *Industrial and Labor Relations Review,* 8 (1954), p. 51.

ens union solidarity. Union activists are reported to be less apt than other workers to have close friends in occupations different from their own[19] and to be more class-conscious, perceiving industrial disputes from the vantage point of the working class.[20] The isolation of a large portion of printers from family and community due to night work, particularly in their youth, is apparently an important reason for the development of the extensive "occupational community" among printers, which in turn has led to very high union solidarity.[21] Seidman and colleagues and Lipset and colleagues also find that men in isolated geographic communities populated largely by workers of one industry tend to have strong pro-union attitudes, to participate actively in union affairs and in politics, and to vote "left."[22]

Finally, a case study of a strike in a New England community provides additional confirmation of the Kerr and Siegel hypothesis.[23] Warner and Low attribute a strike in a large shoe manufacturing company to the breakdown in the skill hierarchy resulting from mass-production methods, which alienated workers from their jobs and undermined their status and their integration with the rest of the community. As a result, shoe operatives were more apt than other workers to confine their social contacts to members of the working class. The removal of managerial control from a local Yankee City owner to outsiders led to further deterioration in management-worker relations. A loss of craft skills and alienation from a powerful distant management caused workers to feel like an isolated mass and to associate primarily with others of their own social class, thus encouraging their participation in the union and in the strike.

A study by Clark of a municipal junior college indicates the impact of the community as a source of clientele of an organization.[24] The unrestricted admission policy of the college recruited a student body over which it had no control and which molded the fundamental character of the institution. Although most entering students were of low aptitude, they expected to transfer from the junior college to a

19 Cited in William Spinrad, "Correlates of Trade Union Participation," *American Sociological Review,* 25 (1960), p. 243.

20 Daisy L. Tagliacozzo and Joel Seidman, "A Typology of Rank and File Union Members," *American Journal of Sociology,* 61 (1956), p. 552.

21 Lipset *et al., op. cit.,* pp. 135–139.

22 Joel Seidman *et al., The Worker Views His Union,* Chicago: University of Chicago Press, 1958, pp. 18–25; and Seymour M. Lipset *et al.,* "The Psychology of Voting," Gardner Lindzey (ed.), *Handbook of Social Psychology,* Cambridge, Mass.: Addison-Wesley, 1954, vol. II, pp. 1131, 1140.

23 W. Lloyd Warner and J. O. Low, *The Social System of the Modern Factory,* New Haven: Yale University Press, 1947, pp. 159–180.

24 Burton R. Clark, *The Open Door College,* New York: McGraw-Hill, 1960, pp. 41–102, 112–134.

regular four-year college. This situation required the junior college to adapt its curriculum and to set up various mechanisms whereby students could be confronted with the disparity between the demands of college education and their own abilities in order to interest them in alternative goals. The majority of instructors were recruited from public high schools, a policy which proved functional given the type of clientele served. Instructors with experience in high-school teaching proved to be better suited for their duties than those with a background in college teaching, because the latter had much less understanding of and sympathy for the students attending this college and for the program it offered.

Cross-Cultural Comparisons. Several recent studies of formal organizations in non-Western societies furnish an opportunity to examine the implications of varying cultural environments for organizations. Berger, for example, studied the careers and orientations of a sample of higher Egyptian government officials.[25] Among them, he found no relationship between a bureaucratic orientation (emphasis on rationality and universalism, hierarchy, and discretion) and a professional orientation (emphasis on skill, self-protection, and service). This finding agrees with our conception that professionalism and bureaucracy entail some conflicting as well as some common elements, and it is supported by other research, although Berger himself considers it atypical and assumes that these two orientations are positively related in the West.[26] A bureaucratic orientation was more prevalent among older government officials, those of superior rank, and those that had experienced upward mobility. In contrast to the trend in the United States, but similar to that in France, the prestige of civil-service employment in Egypt has declined in recent years. Familial and personal loyalties often came into conflict with formal and impersonal standards of decision-making. Outside commitments and interests generally seemed to impinge more on bureaucratic performance among these Middle Eastern officials than they probably do among Western officials.[27]

A study of factories in Japan conducted by Abegglen provides further information on non-Western organizations.[28] Abegglen's data were obtained from qualitative interviews and observations in 53 factories of varying size. All of these organizations were found to be governed by traditional values, in sharp contrast to the pervasive impersonality in Western organizations. Employment in a company was

[25] Morroe Berger, *Bureaucracy and Society in Modern Egypt*, Princeton: Princeton University Press, 1957, pp. 49–56.

[26] Morroe Berger, "Bureaucracy East and West," *Administrative Science Quarterly*, 1 (1957), p. 528.

[27] Berger, *Bureaucracy and Society in Modern Egypt*, *op. cit.*, pp. 66, 111–112, 149.

[28] James G. Abegglen, *The Japanese Factory*, Glencoe, Ill.: Free Press, 1958, especially pp. 11–54.

looked upon as a personal commitment both by workers and management; hence, workers rarely were laid off or left their jobs. One result of such an employment policy was that most firms usually had a surplus of labor. This situation impeded adjustment to economic change and discouraged the introduction of technological innovations, since the cost of new machines could not be compensated for by reducing the cost of labor. Recruitment to various levels in these firms was largely based on formal education, and education depended to a considerable extent on family background and income, so that a person's status in the factory tended to be governed by his family's status in the community. Compensation was based on such features as age, education, and number in the family rather than being closely geared to performance, the worker being rewarded for his status and his loyalty to the firm and not his specific contributions to the production process. There was little demarcation between the worker's private life and his business life: "Management is involved in such diverse matters as the personal finances of the worker, the education of his children, religious activities, and the training of the worker's wife."[29] In general it appears that industrialization in Japan was accompanied by much less change in its traditional social organization and social relations than was the case in Western countries.

The lack of impersonality in Japan's formal organizations is also reflected in the use of a special female attendant in Japanese mental hospitals.[30] A woman called a *tsukisoi,* who may or may not have had special training, acted as a "motherly" servant for psychiatric patients. She was assigned to one patient, with whom she stayed day and night, serving as housekeeper and companion. Since she was not employed by the hospital but engaged in private practice, her allegiance was to the patient rather than to the hospital. Caudill feels that this type of role is consistent with Japanese values, which emphasize the interdependence between people as opposed to the Western emphasis on individuality. The use of the *tsukisoi,* and generally the very high ratio of staff to patients (there were 81 staff members and 50 patients in the private psychiatric hospital that Caudill studied intensively), made unnecessary many of the physical restraints used in American psychiatric hospitals. Although Caudill stresses that the therapeutic implications of the existence of such a supportive figure must be examined in the light of the particular needs of the Japanese personality, he notes that this institution entails the danger of mutual overinvolvement of the *tsukisoi* with her patient.

The comparison of industrial concerns in two Western countries

[29] *Ibid.,* p. 129.

[30] William Caudill, "Around the Clock Patient Care in Japanese Psychiatric Hospitals," *American Sociological Review,* 26 (1961), pp. 204–214.

reveals some interesting differences in administrative structure, even if the contrasts are not quite as striking as those between Eastern and Western organizations. A study by Harbison and his colleagues compares the characteristics of management in two steel companies of similar size, one in the United States and one in Germany.[31] Top management in the German firm had much more formal education than its counterpart in the American firm, and the same difference was found between managers on the next hierarchical levels. However, the American firm compensated for this discrepancy by employing a large staff of senior technicians—430 as compared to 43 in the German firm. Moreover, the American firm employed proportionately more foremen than did the German firm, and the American foremen were better educated than the German ones. The authors attribute these differences in part to the "much greater use of automatic machinery"[32] in the American plant, which requires more foremen (Faunce's study cited in Chapter VII also found that automation led to an increase in foremen), and which requires a large staff of technically trained experts, whose skills make it less important for management to have advanced training. But the fact that the American company was much younger than the German one may have contributed to the larger number of "self-made" uneducated managers in the former. The educational differences on lower levels, finally, are probably the result of the superior educational opportunities in the United States.

A study by Fallers of the governmental and administrative organization of the Soga, a Bantu-speaking people of East Africa, allows us to examine bureaucracy in a nonliterate society.[33] Unlike most tribes, the Bantu had a central government before the Europeans came. Fallers suggests that the ambiguity of the Soga descent system created a structural need for an administrative corps recruited on a nonkinship and nonhereditary basis. Hence, in addition to the hereditary ruler and the princes who were the ruler's classificatory siblings, there was an administrative staff composed of commoners raised to their position by the chief on the basis of their abilities and services to him and directly dependent upon him for their position. Although this staff was bound to the ruler by traditional authority, it was a hierarchical and nonkinship structure based on achieved status and as such was more receptive to bureaucratization when a Western nation took over the country than were the less centralized, more traditional political systems of other tribes. Moreover, the conflict between lineage and state inherent

[31] Frederick H. Harbison *et al.*, "Steel Management on Two Continents," *Management Science,* 2 (1955), pp. 31–39.

[32] *Ibid.*, p. 37.

[33] Lloyd A. Fallers, *Bantu Bureaucracy,* Cambridge, England: East African Institute of Social Research, by W. Heffer, n.d., especially pp. 126–135, 151–152, 241–243.

in the dual political structure facilitated bureaucratization by the British, since the ruler, insecure in his position and facing the threat of revolt by the princes, welcomed the British as allies. Among the Southern Bantu, where the lineage-state problem was of less importance, Westernization did not proceed as readily. Once the Soga rulers were committed to the new order—being dependent on the British as allies and sending their sons typically to schools in England—the British could introduce further bureaucratization, replacing the tribute system by salaries and the personal-appointment system by civil-service procedures. Attempts to introduce bureaucratic practices at the lower levels (for example, among the village headmen) were less successful, since these chiefs depended less for their authority on an administrative hierarchy and more on local personal ties with their villagers.

Fallers' study is concerned with the factors that have fostered bureaucratization in a particular society. Udy's cross-cultural comparison seeks to infer more generally the stages involved in the evolution of organizational complexity.[34] He investigates the characteristics of 25 bureaucratic production organizations located in 19 nonindustrial societies, his source materials being drawn from the Human Relations Area Files. "Production organizations" are defined in his study as social groups engaged in the combination or transformation of raw materials into material goods, and they meet his criterion of a "bureaucratic organization" if they possess three or more levels of authority. Udy reports that a consistent pattern of relations was found among four characteristics usually ascribed to bureaucratic organizations. These characteristics were: (1) dependence upon superiors for rewards, that is, rewards for participation allocated by a higher authority to lower positions; (2) specialization, operationally defined as three or more different operations carried on concurrently; (3) rewards for performance, that is, quantity of reward proportional to the work or effort contributed; and (4) contractual agreements—rather than, for example, kinship obligations—as a basis for participation. These characteristics were found to form a Guttman scale. Thus, all five bureaucratic organizations that had contractual agreements also had the other three characteristics: rewards based on performance, specialization, and allocation of rewards by superiors. All organizations that had three bureaucratic characteristics had the first three but not contractual agreements; all organizations with two characteristics had the first and second; and if a bureaucratic organization had only one of these characteristics, it was the first—allocation of rewards by superi-

[34] Stanley H. Udy, Jr., " 'Bureaucratic' Elements in Organizations," *American Sociological Review,* 23 (1958), pp. 415–418.

ors. Among the 25 cases, there was only one exception to this pattern.[35]

This pattern of findings permits us to make inferences concerning the evolution of organizational complexity in hierarchical production organizations. It appears that unless there is a system of allocating rewards which insures that the lower levels will be dependent on the higher ones, specialization is not likely to develop. Specialization, in turn, seems to be required before tendencies emerge in organizations to make rewards proportional to contributions. Finally, contractual agreements regarding the conditions of participation and of making contributions typically replace traditional reasons for participation only after complexity in the other areas has developed. Of course, the small number of cases makes these inferences hypothetical; even so, the consistency of the findings is remarkable and indicates that the relationships between various bureaucratic characteristics are by no means random.[36]

Organizational Analysis

Bureaucracy Reconsidered. In the preceding section we examined a few of the studies dealing with organizations in widely differing societies. These studies call attention to basic differences between organizations. Since the social context in which an organization operates often finds expression in its characteristics, the pronounced differences observed in cross-cultural comparisons provide an opportunity for testing hypotheses about the interrelations between organizational characteristics which have been suggested by investigations confined to organizations in one society. It will be recalled that Weber's conception of bureaucracy implies that certain characteristics will be found together in formal organizations. We did not accept Weber's formulation of an ideal type model but looked upon these implied interrelations between organizational characteristics as a set of hypotheses to be tested in empirical research. This testing requires the systematic comparison of different formal organizations. Recent research that compares formal organiza-

35 Fishing practices among the Samoans had specialization but not allocation of rewards by superiors. *Ibid.*, p. 417.

36 A recent issue of the *Administrative Science Quarterly* (vol. 5, June, 1960) is devoted to comparative public administration and contains several articles describing the characteristics of both Western and non-Western bureaucracies. For additional recent studies of non-Western bureaucracies, see: Ralph Braibanti, "The Civil Service of Pakistan," *South Atlantic Quarterly,* 58 (1959), pp. 258–304; William C. Beyer, "The Civil Service of the Ancient World," *Public Administration Review,* 19 (1959), pp. 243–249; Robert V. Presthus, "Social Bases of Bureaucratic Organization," *Social Forces,* 38 (1959), pp. 103–109; and Selo Soemardjan, "Bureaucratic Organization in a Time of Revolution," *Administrative Science Quarterly,* 2 (1957), pp. 182–199.